

TD Power Systems Ltd

Concall Tracker — earning-trigger & management-consistency read · Report date 5 July 2026 · Ticker TDPOWERSYS (BSE 533553)

1. Snapshot

What the business does (one line): TD Power Systems makes large electrical **AC generators** — the spinning machines that sit next to a steam turbine, gas turbine, gas engine, hydro turbine or diesel engine and turn that mechanical spin into electricity. It also makes large industrial **electric motors** and (newly) **traction motors** for trains. Most of its sales are to global equipment makers (OEMs) who bolt a TDPS generator onto their turbine/engine and ship the package worldwide — so it is really an **exporter of a critical power-plant component**.

Number (latest)	Value	What it means in plain words
Market value of the company	₹18,150 cr	What the stock market says the whole business is worth today.
Sales FY26 (year to Mar 2026)	₹1,717 cr (standalone) ₹1,878 cr (consolidated)	Total goods sold in the year. Up ~35% on FY25. Consolidated (which adds overseas arms) is a bit higher than the standalone India figure.
Net profit FY26	₹216 cr (standalone) ₹236 cr (consolidated)	What was left as profit after all costs and tax — up ~42%. Profit grew faster than sales, so the business got more efficient.
Operating margin (OPM) FY26	18%	Out of every ₹100 of sales, ₹18 is operating profit. This has climbed steadily from ~7% in FY20 — a big, real improvement.
Return on capital (ROCE)	31.6%	For every ₹100 of money tied up in the business, it earns ₹31.6 a year before tax — a high, healthy number.
Debt	Effectively nil	The company is debt-free; it funds growth from its own cash.
Stock P/E	83	The share trades at 83 times yearly profit — a very expensive, high-expectation valuation. (Context, not a call.)

Note: Screener's profit-and-loss table is the standalone (India-only) set. Management reports both; where they differ, consolidated is slightly larger because it adds the Turkey and other overseas subsidiaries. Figures above are read straight from the company's own concall remarks.

2. Concall coverage

TD Power holds an earnings concall every quarter. Screener listed **28 calls**; **26 transcripts were downloaded** (only two very old stubs — Aug 2020 and Mar 2021 — were missing, both far outside the analysis window). The most important call, the **latest one (May 2026)**, is present and was read in full. I read the calls below myself, oldest to newest, spanning about **6.5 years**.

Call	Date read	Transcript read?
Q2 FY20 (oldest baseline)	Nov 2019	Yes — full
Q4 FY23 (annual)	May 2023	Yes — full

Q4 FY24 (annual)	May 2024	Yes — full
Q4 FY25 (annual)	May 2025	Yes — full
Q3 FY26	Jan 2026	Yes — full
Q4 FY26 (latest)	May 2026	Yes — full ★

A focused set — oldest baseline, the last three full-year calls, and the two most recent quarters — enough to judge both the earning trigger and whether management has stayed consistent.

★ Latest concall highlights — Q4 & FY26 (call held 15 May 2026)

- **Best year ever, and growth is speeding up.** Full-year sales ₹1,878 cr consolidated, up 44%; profit ₹236 cr, up 36%. The standalone India business alone did ₹1,737 cr (up 35%) with ₹218 cr profit (up 42%). Read: the business is not just growing, it is growing *faster* than the year before.
- **Order book exploded.** Manufacturing order book ₹1,973 cr, of which ₹1,677 cr is generators. Full-year new orders ₹2,238 cr, up 51%; export orders alone up 76%. Read: the shelf of confirmed future work is now bigger than a full year's sales — strong visibility.
- **Guidance raised again.** Management now guides FY27 sales to **₹2,400-plus cr** (up from the ₹2,200 cr they gave just one quarter earlier) and said there is a "very high probability" of raising it further. Read: they keep having to move their own target upward.
- **Biggest new announcement — a push into very large generators (up to 200 MW).** They will invest heavily in new rotor-making capability to chase big machines for AI data centres, combined-cycle gas plants and even small nuclear reactors, competing head-on with Siemens and Baker Hughes. Notable customer name-dropped: **SpaceX**. Full capex numbers due "in 2–3 months". Read: a fresh, larger growth leg is being opened up.
- **One-off margin dent, honestly flagged.** A Turkey contract was hit by a shipping delay, triggering a penalty that shaved consolidated margins this quarter. Management called it a one-off and said margins revert to the normal ~33–34% gross level. **Tone: confident, almost stretched — the recurring theme is "the demand is huge, our problem is executing fast enough."**

Business mix & capacity (quick-glance)

Domestic vs export: On the latest full-year orders, **~79% exports / ~21% domestic** (and ~76% of the pending order book, excluding railways, is export). Read: roughly four out of every five rupees of new business now comes from outside India — this is an export story first, an India story second.

Capacity: The third plant went live on 18 Dec 2025. Management says current capacity plus small ongoing investments (₹50 cr this year + ₹50 cr next) can support sales of **~₹3,000–3,200 cr all the way to FY28**. Read: there is plenty of headroom to grow before a big new build is needed — the separate, larger-generator plant is an *extra* leg on top of this.

3. Earning-trigger thesis ★

The core driver is simple and concrete: **the world is short of reliable power, and TD Power sells the generator that every turbine and engine needs**. A surge in demand for **gas-turbine and gas-engine power** — driven by AI data centres, grid-stabilisation (after blackouts in Europe), fracking and oil-and-gas — means the global engine and turbine makers (TDPS's customers) are scrambling to build

machines, and each one needs a matching generator. On top sit steady legs in **hydro** (including refurbishment) and a genuinely new leg in **export traction motors** for trains (US, Europe, Russia). TDPS is a rare low-cost, high-quality supplier competing with Siemens and Baker Hughes, and its order book has **more than doubled in 24 months**.

Trigger	What management said	Evidence so far	Time horizon	Strength
Gas-turbine / gas-engine generators for AI data centres, grid stabilisation, oil & gas	"Massive growth continues without pause"; customers doubling capacity by 2030; SpaceX among buyers	Export orders up 76% in FY26; order book up 51%; sales +35–44%	Live now, runs to 2030	Strong
Hydro (incl. refurbishment)	FY26/27 "highest years ever" for hydro; becoming a large vertical	Steady order inflow; refurbishment wins in India and abroad	Ongoing	Strong
Export traction motors (railways pivot)	Prototypes delivered to US/ Europe/CIS; firm FY27 volume contracts; India = 4th market next year	Order book building; not yet a big revenue line	Ramps FY27–28	Moderate (early, but real)
Very large generators up to 200 MW (new)	Fresh heavy capex planned; targets SMR nuclear, combined-cycle, big data centres	Only just announced; numbers pending	FY28+	Moderate (unproven, promising)
Operating-leverage margin expansion	Margins to rise faster than sales as plants fill up	OPM 7%→18% over FY20–FY26 — delivered	Delivered, ongoing	Strong

4. Management consistency scorecard

The test: did they do what they said they would? Tracking the promises from the earliest call to the latest.

Period	What was promised	What actually happened	Verdict
FY20 (2019)	Manufacturing to cross ₹500 cr for first time; 10%+ operating margin; export- and Turkey-led growth	Achieved; the company then kept compounding well beyond this	Delivered
FY23 (2023)	A conservative "17.5% compounded growth" commitment (target 20–25%); margins to improve on operating leverage; ~₹1,000 cr FY24	Grew far faster — sales rose from ₹821 cr (FY23) to ₹1,717 cr (FY26), ~28% a year; margins expanded	Delivered (beat)
FY24 (2024)	FY25 ~₹1,200 cr consolidated; margins +3–4% via leverage; new gas/data-centre and BRUSH-tie-up orders	FY25 came in at ₹1,302 cr consolidated — ahead of guidance; gas/data-centre orders materialised	Delivered (beat)
FY25 (2025)	FY26 guidance ~₹1,500 cr; third plant live H2; FY27 target ₹1,900–2,000 cr	FY26 blew past at ₹1,878 cr consolidated; plant live Dec 2025; FY27 target then raised, not cut	Delivered (beat)
Railways (2019→2026)	2019–23: Indian Railways to become a ₹100 cr business; motor under trial	Indian Railways stalled for years with "almost no action"; management <i>pivoted</i>	Dropped & replaced

		to export traction motors (US/Europe/Russia) instead	
Turkey (2019→2026)	2019–20: Turkey a bright growth engine, "no geopolitical risk"	Turkish-lira collapse caused repeated translation losses; management is now winding the market down ("could be the last year")	Dropped (honestly)

Narrative drift: The headline story — *export-led, diversified growth across many generator end-markets, with margins improving as scale builds* — has been remarkably steady for 6+ years and has been **delivered and then beaten**. Two side-stories did change: the Indian-Railways dream stalled and was quietly replaced by an **export** traction-motor plan, and the once-promising Turkey subsidiary is being wound down after currency losses. Both shifts were disclosed plainly rather than buried, and neither was the core thesis. The clearest positive tell is that management repeatedly **raises its own guidance** (₹1,500 → ₹1,800 → ₹2,200 → ₹2,400+) rather than missing it — a habit of under-promising and over-delivering.

One caveat worth flagging (not part of the two verdicts): promoter shareholding has fallen sharply — from ~58% (Jun 2023) to ~27% (Mar 2026) — while foreign institutions rose from ~3% to ~27%. The business is executing superbly, but the founders have been selling down their stake, and the stock trades at a demanding 83× earnings. Both are things an investor should weigh separately from the operating story.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete, still-live driver: a global shortage of reliable power (AI data centres, grid stabilisation, gas and hydro) is forcing TDPS's OEM customers to build more turbines and engines, and every one needs a TD Power generator. This is not a promise — it is already showing up in the numbers: sales up 35–44%, profit up ~40%, export orders up 76%, and an order book that has more than doubled in two years. Multiple independent legs (gas, hydro, traction, large generators) reduce reliance on any one market. The driver is real and playing out.

Management consistent? → YES

Management has done what it said — and usually better. It made a deliberately conservative growth commitment and delivered nearly double the pace; it promised margin expansion from operating leverage and margins rose from 7% to 18%; and it has beaten its own sales guidance three years running while repeatedly revising the target *upward*. The two stories that changed — Indian Railways stalling (pivoted to export traction) and Turkey being wound down — were side-bets, were disclosed honestly, and did not derail the core export-led thesis. This is a consistent, credible management team. (The separate caveats above — heavy promoter selling and a rich valuation — are for the investor to weigh, but they do not change the operating-consistency read.)

Prepared from TD Power Systems' own earnings-call transcripts (Screener.in) and financial tables. Simple-English concall tracker; not investment advice.